prosecuted for violating rules that officially did not exist.

The HLC also studied the international situation and found that many advanced countries had made similar errors. Between 2014 and 2024, the European Commission reviewed more than 1,000 regulatory proposals and adopted around 660, imposing new compliance obligations on large and small businesses. The result: additional paperwork and administrative burdens that cost an estimated $176 billion annually—nearly 1 per cent of the EU's GDP. Europe's experience was a cautionary tale for the HLC. Determined to avoid a similar regulatory overhang, the committee applied the principles of trust-based governance to every regulation, ministry by ministry and sector by sector. Jyoti Vij, director general of FICCI (Federation of Indian Chambers of Commerce and Industry), says, "What stands out in all this effort is that ministries are behaving less like regulators defending turf and more like partners searching for workable solutions. That's been hugely helpful."

The Tangible Gains

No sector of the Indian economy better illustrates the compliance burden than its MSMEs. Though they contribute nearly 30 per cent of gross value added, 35 per cent of manufacturing output and almost half of India's total exports, these unheralded workhorses routinely operate under regulatory frameworks designed for enterprises 10-20 times their size.

"THIS MAY BE THE WORST OF TIMES BECAUSE OF GLOBAL CHALLENGES. BUT IT IS THE BEST OF TIMES FOR INDIA TO PUSH REGULATORY REFORMS TO ACHIEVE AN 8%-PLUS GDP GROWTH"



CHANDRAJIT BANERJEE
Director-general, CII

Modi's deregulation mission targets this mismatch directly. The thresholds defining small companies have been significantly raised, with turnover limits increasing from Rs 40 crore to Rs 100 crore and paid-up capital limits from Rs 4 crore to Rs 10 crore. This change alone exempts 10,000 companies, including tech startups, from compliance requirements meant for larger enterprises, freeing management to focus on growth rather than paperwork.

Food regulation has seen some of the more dramatic changes. FSSAI (Food Safety and Standards Authority of India) registration thresholds have been raised from Rs 12 lakh in annual turnover to Rs 1.5 crore—a 12.5x increase. Lifetime licences and automatic registration systems are being introduced. The government estimates that nearly 5 million food businesses stand to benefit, including the vast informal food economy of street vendors, small caterers and home kitchens that has long operated in regulatory limbo. "What is required is enforcement, not more regulation," says a committee member.

Quality Control Orders (QCOs) have been another bane, where regulation has overshot its purpose. Introduced to improve standards and protect consumers, QCOs expanded from fewer than 70 products in 2016 to nearly 790 by 2025. What began as a quality-assurance mechanism increasingly became a compliance burden. According to reform officials, QCOs on industrial inputs were raising costs by 10-30 per cent, hurting sectors such as textiles and eroding India's competitiveness against rivals like Vietnam and Bangladesh.

The HLC applied a simple test: regulate products that directly affect consumer safety, health or the environment and not every component in the supply chain. "A safety standard for an electric heater makes sense; one for every screw and bolt inside it does not," says an official. Acting on that principle, the government has revoked 22 QCOs, covering synthetic fibres, polymers and base metals. Of the 208 QCO-related recommendations reviewed by the committee, 116 have already been deferred, suspended or rescinded.

Environment regulation reforms promise to be another big economic payoff. For decades, businesses complained of a maze of overlapping approvals, repetitive consent renewals and inspection-heavy compliance regimes that consumed time and resources without necessarily improving environmental outcomes. The HLC reduced the green-cover requirements for industrial projects from 33-40 per cent to 10-25 per cent, low-pollution industries are being shifted to self-certification and third-party audits, consent-to-operate approvals are

WHAT MORE NEEDS TO BE DONE



- **Take deregulation deeper into states and cities:** The next frontier is subnational and municipal—building approvals, inspections, utility connections, fire and labour clearances. The Investment Friendliness Index and D-BRAP* are the levers, but sustained political and administrative push is essential
- **Labour and land reforms:** Smoother implementation of the labour codes across states and progress on land reforms remain the highest-value reforms
- **Institutionalise the discipline of review:** Move towards regulatory impact assessments and sunset/review clauses that automatically retire rules unless renewed, and establish a standing mechanism so reforms don't lapse once the high-level committee reports
- **Continue decriminalisation:** States also should undertake a comprehensive review of all acts under their jurisdiction